

MANAGEMENT REVIEW

Management without theatre.

STRATEGY

STRATEGY ON ONE PAGE

Strategy in 35 words, how many people know the course, the five choices of Playing to Win, hoshin kanri and catchball, Rumelt's kernel, and a card for a strategy on one page.



35

words or fewer: a test for a strategy statement that everyone in the company would put the same way.

COLLIS & RUKSTAD, 2008

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35 words or fewer

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The strategy on one page

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NO. 33 · STRATEGY

In this issue

A strategy that lives in a long document rarely reaches the people who carry it out. This issue looks at what fits on one page, who decides what goes on it, and how to test whether it is a strategy at all.

David Collis and Michael Rukstad ask whether a company can state its strategy in 35 words or fewer: its objective, scope and advantage. In a 2012 online poll in Germany, 44% said they knew their employer's course for the year. A.G. Lafley and Roger Martin reduce strategy to five linked choices, Japanese firms have deployed it with hoshin kanri since the 1960s, and Richard Rumelt names the kernel of a good strategy: a diagnosis, a guiding policy and coherent actions.

Stiven Janaqi EDITOR · STIVEN CATALYST

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35 words or fewer

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HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

The steps and the card are proposals to try, not research results.

COVER STORY

35 words or fewer

In 2008 David Collis and Michael Rukstad opened their Harvard Business Review article with two questions: can you sum up your company's strategy in 35 words or fewer, and would your colleagues put it the same way?

01**Objective**

the end the strategy aims at, with an end point and a time frame

02**Scope**

the part of the landscape in which the firm will operate

03**Advantage**

the means by which the firm will reach the objective

Their verdict: most executives cannot state the objective, scope and advantage of their business in a simple statement, and if they can't, neither can anyone else. Their example was Edward Jones, a brokerage in St. Louis: by the authors' account, just about every one of its 37,000 employees could state its short strategy statement.

OUR READING

The 35 words are not the strategy. They test whether there is one that people can repeat.

Source: David J. Collis & Michael G. Rukstad, Harvard Business Review, 2008

The 35 words are the authors' test, not a measured figure. The Edward Jones claim is theirs too; one of them had worked with the firm for more than ten years.

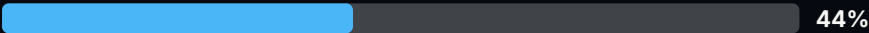
THE NUMBERS

Who knows the course

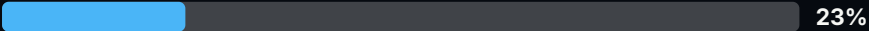
In 2012 the job site StepStone asked its users in an online poll whether they knew their employer's course for the year. The answers of specialists and managers in Germany:

KNOW THEIR EMPLOYER'S COURSE FOR 2012, GERMANY

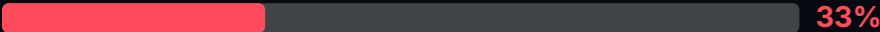
Knew it



Had a rough idea



Did not know it



The European average of the poll was 41%. A figure quoted far more often says that 95% of employees do not know or do not understand their company's strategy. It comes from the abstract of a 2005 Harvard Business Review article by Robert Kaplan and David Norton, which gives no sample, year or method; we found no survey behind it.

OUR READING

A number without a source can travel far. Asking your own team takes one meeting.

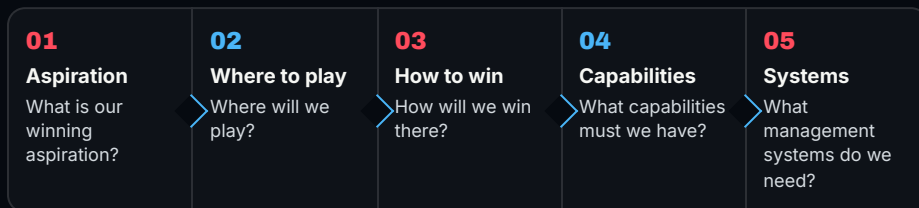
Sources: StepStone survey, reported by Deutsche Handwerks Zeitung, 2012; Robert S. Kaplan & David P. Norton, Harvard Business Review, 2005

A self-selected online poll and self-reports; it is not clear whether the 4,800 or so respondents were in Germany alone. For Albania we have no comparable figure.

THE MODEL

Five choices, one cascade

In *Playing to Win* (2013), A.G. Lafley and Roger Martin treat strategy as five linked choices, each a question. Where to play and how to win sit at the centre.



The choices depend on each other: the aspiration sets the level of ambition, where to play narrows how to win, and capabilities and systems serve the choices above them. The cascade runs both ways, and a market is attractive only together with a way to win in it.

OUR READING

Most plans answer the first question and skip the next two. Where to play and how to win are where the hard choices are.

Source: A.G. Lafley & Roger L. Martin, Harvard Business Review Press, 2013

The cascade is confirmed only in summaries of the book. The publisher credits the method with Lafley's decade at Procter & Gamble; that is its claim, not an independent measurement.

More in the essay

From retail to logistics and hospitality: the industry changes, the management problems do not

WHAT THE RESEARCH SAYS

Hoshin kanri and catchball

Hoshin kanri, or policy deployment, has been a management system in many Japanese companies since the 1960s, used to tie strategy to quality management. In the West few firms used it, apart from some pioneers.



1960s

Japanese firms use hoshin kanri to tie strategy to quality management.



1991

Yoji Akao's book on policy deployment appears in English.

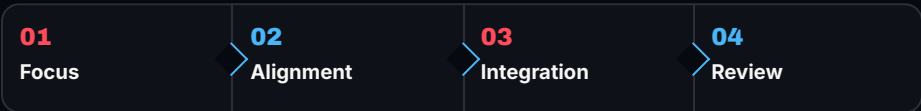


2001

Tennant and Roberts describe catchball at Rover Group.

Catchball is the process by which teams build consensus on the targets and measures passed down to them. Tennant and Roberts based one on the Delphi technique and used it at the UK carmaker Rover Group to shape its quality strategy. At the University of East Anglia, Barry Witcher's team held over 100 interviews in three UK subsidiaries of Japanese firms and followed key policy decisions through the process.

THE FOUR ACTIVITIES OF THE YEARLY CYCLE IN WITCHER'S FAIR MODEL



Sources: Yoji Akao (ed.), Productivity Press, 1991; C. Tennant & P. Roberts, Long Range Planning, 2001; University of East Anglia, research of Barry J. Witcher, 2014

The research on hoshin kanri is mostly case studies: it describes how firms use it, not whether a one-page strategy improves results. The FAIR model rests on one source.

HOW IT IS MEASURED

Is it a strategy at all?

Richard Rumelt calls the core of a good strategy its kernel. A plan that does not name and analyse its obstacles is, in his terms, only a goal, a budget or a wish list.

01

Diagnosis

defines and explains the challenge, cutting away what is superficial

02

Guiding policy

the overall approach to the challenge, which focuses the effort

03

Coherent actions

coordinated, feasible steps and resources that carry out the policy

Four signs of bad strategy

1. fluff: the ordinary dressed in big words
2. failure to face the challenge
3. goals mistaken for strategy
4. bad strategic objectives: a mixed list of tasks without focus

HYPOTHETICAL EXAMPLE, A REGIONAL WAREHOUSE

Diagnosis	most late shipments start with orders released after 14:00
Policy	fix the afternoon peak before adding new services
Actions	an earlier order cut-off, a second picking wave, a daily check at 15:00

Three lines a team can check every week. The case is invented.

Source: Richard P. Rumelt, Crown Business, 2011

The kernel and the four signs follow Rumelt (2011); the example is the editors'.

TOOL OF THE ISSUE

The strategy on one page

Write it with the team, keep it to one page, and ask three colleagues to repeat it in their own words. Where their versions differ, the strategy is not yet clear.

01 Objective what, and by when

02 Scope where we play: customers, places, services, and what we leave out

03 Advantage why customers choose us over others

04 Diagnosis the main obstacle, in one sentence

05 Three actions coherent, each with an owner and a date

06 Catchball who read it, what came back, what changed

Sources: David J. Collis & Michael G. Rukstad, Harvard Business Review, 2008; Richard P. Rumelt, Crown Business, 2011; C. Tennant & P. Roberts, Long Range Planning, 2001

A practice proposed by the editors, after Collis & Rukstad (2008), Rumelt (2011) and catchball in hoshin kanri.

Open the tool: **KPI Diagnostic**

stivencatalyst.com/tools/kpi-diagnostic/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Can You Say What Your Strategy Is?

David J. Collis & Michael G. Rukstad, Harvard Business Review, 2008

<https://hbr.org/2008/04/can-you-say-what-your-strategy-is>

Umfrage von StepStone: Viele Arbeitnehmer kennen Unternehmensstrategie nicht

StepStone survey, reported by Deutsche Handwerks Zeitung, 2012

The Office of Strategy Management

Robert S. Kaplan & David P. Norton, Harvard Business Review, 2005

<https://pubmed.ncbi.nlm.nih.gov/16250626/>

Playing to Win: How Strategy Really Works

A.G. Lafley & Roger L. Martin, Harvard Business Review Press, 2013

Hoshin Kanri: Policy Deployment for Successful TQM

Yoji Akao (ed.), Productivity Press, 1991

Hoshin Kanri: Implementing the Catchball Process

C. Tennant & P. Roberts, Long Range Planning, 2001

<https://wrap.warwick.ac.uk/11819>

Improving strategy management in operations through Hoshin Kanri (REF2014 impact case study)

University of East Anglia, research of Barry J. Witcher, 2014

<https://impact.ref.ac.uk/casestudies/CaseStudy.aspx?id=7658>

Good Strategy Bad Strategy: The Difference and Why It Matters

Richard P. Rumelt, Crown Business, 2011

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked "via". The editors' interpretation is marked "Our reading". Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

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Every issue, one management question, checked against the best research.

ALL ISSUES

stivencatalyst.com/magazine/management-review.html